

⚠ Temporary Disruption

We have implemented additional assurance measures to protect our systems.

As a result, we have suspended some of our systems and services. We apologise for any temporary disruption some customers may experience.

English | Français



**Social Policy and
Society**

Article contents

Abstract

References

Policy Effects of the Statutory Minimum Wage in Hong Kong: Evidence from the General Household Survey from 2011 to 2019

Published online by Cambridge University Press: 23 December 2025

Xinmiao Song,  Ngai Pun , Zhuoni Zhang and Han Zhang 

Article Supplementary materials Metrics

Get access

Abstract

This article examines the policy effects of Hong Kong's Statutory Minimum Wage (SMW) on underemployment, working hours, and wages. Using a Difference-in-Differences methodology on General Household Survey data (2011–2019), we assess five SMW adjustment cycles. We define a 'most disadvantaged' treatment group and a 'less disadvantaged' group based on the concentration of minimum wage earners in their industry-occupation cell, relative to an unaffected control group. Our findings show no significant increase in underemployment or reduction in working hours for either group. Wage effects were also contained, with inconsistent direct gains for the most disadvantaged group and no evidence of significant wage spillovers for the 'less disadvantaged' group. These findings indicate that the SMW and its adjustments in Hong Kong did not lead to the feared wage-price-cost spiral; instead, they highlight the need to explore policy options for appropriate SMW increases to reduce economic inequality.

This website uses cookies

By clicking "Accept all cookies", you agree to the storing of cookies on your device to enhance site navigation, analyse site usage, and assist in our marketing efforts. (https://www.cambridge.org/legal/cookies)

 Cookie Settings

 Reject All

 Accept All Cookies

Keywords

Information

Type	Article
Information	Social Policy and Society, Volume 25, Issue 1, January 2026, pp. 61 - 77 DOI: https://doi.org/10.1017/S1474746425101127
Copyright	© The Author(s), 2025. Published by Cambridge University Press in association with Social Policy Association

References

Au-Yeung, T. C. (2023) 'The normative construction of and contestation over in-work benefits in Hong Kong: A moral economy approach', *Social Policy and Society*, 22, 2, 209–225.[10.1017/S147474642100035X](#) [CrossRef](#) [Google Scholar](#)

Au-Yeung, T. H. (2024) '最低工資 / 廠商會會長憂「漣漪效應」上層員工加薪增中小企壓力 [Minimum Wage: Chamber of Commerce President Expresses Concern about “Ripple Effect” of Wage Increases for Higher-Level Employees, Which will Further Burden Small and Medium-Sized Businesses]', <https://www.hk01.com/article/1014955> [accessed 10.06.2025]. [Google Scholar](#)

Autor, D. H., Manning, A. and Smith, C. L. (2016) 'The contribution of the minimum wage to US wage inequality over three decades: A reassessment', *American Economic Journal: Applied Economics*, 8, 1, 58–99. [Google Scholar](#)

Bossler, M. and Gerner, H.-D. (2020) 'Employment effects of the new German minimum wage: Evidence from establishment-level microdata', *ILR Review*, 73, 5, 1070–1094.[10.1177/0019793919889635](#) [CrossRef](#) [Google Scholar](#)

Bossler, M. and Schank, T. (2023) 'Wage inequality in Germany after the minimum wage introduction', *Journal of Labor Economics*, 41, 3, 813–857.[10.1086/720391](#) [CrossRef](#) [Google Scholar](#)

Bruckmeier, K. and Bruttel, O. (2020) 'Minimum wage as a social policy instrument: Evidence from Germany', *Journal of Social Policy*, 50, 2, 247–266.[10.1017/S0047279420000033](#) [CrossRef](#) [Google Scholar](#)

Cengiz, D., Dube, A., Lindner, A. and Zipperer, B. (2019) 'The effect of minimum wages on low-wage jobs', *The Quarterly Journal of Economics*, 134, 3, 1405–1454. [CrossRef](#) [Google Scholar](#)

This website uses cookies

By clicking “Accept all cookies”, you agree to the storing of cookies on your device to enhance site navigation, analyse site usage, assist in our marketing efforts, and assist in our marketing efforts. [Cookie notice](#)
(<https://www.cambridge.org/legal/cookies>)

Census and Statistics Department (1995) 'Hong Kong Monthly Digest of Statistics-Unemployment and Underemployment Situation in Hong Kong', Hong Kong: Region TGotHKSA [accessed 01.07.2025]. [Google Scholar](#)

Census and Statistics Department (2012) '2011 Report on Annual Earnings and Hours Survey', Hong Kong: The Government of the Hong Kong Special Administrative Region [accessed 01.07.2025]. [Google Scholar](#)

Census and Statistics Department (2024) General Household Survey, https://www.censtatd.gov.hk/en/page_1299.html [accessed 01.07.2025]. [Google Scholar](#)

Chen, L. (2020) 'Hong Kong's economy navigating turbulent times', East Asian Policy, 12, 1, 59–71. [Google Scholar](#)

Cova, J. (2023) 'Politicizing the minimum wage: A multilingual text analysis of minimum wages in European electoral manifestos', Journal of European Social Policy, 33, 4, 469–483.10.1177/09589287231199561 [CrossRef](#) [Google Scholar](#)

Dolton, P., Bondibene, C. R. and Wadsworth, J. (2012) 'Employment, inequality and the UK national minimum wage over the medium-term', Oxford Bulletin of Economics and Statistics, 74, 1, 78–106.10.1111/j.1468-0084.2011.00653.x [CrossRef](#) [Google Scholar](#)

Engbom, N. and Moser, C. (2022) 'Earnings inequality and the minimum wage: Evidence from Brazil', American Economic Review, 112, 12, 3803–3847.10.1257/aer.20181506 [CrossRef](#) [Google Scholar](#)

Fong, B. (2017) 'In-between liberal authoritarianism and electoral authoritarianism: Hong Kong's democratization under Chinese sovereignty, 1997–2016', Democratization, 24, 4, 724–750.10.1080/13510347.2016.1232249 [CrossRef](#) [Google Scholar](#)

Gopalan, R., Hamilton, B. H., Kalda, A. and Sovich, D. (2021) 'State minimum wages, employment, and wage spillovers: Evidence from administrative payroll data', Journal of Labor Economics, 39, 3, 673–707.10.1086/711355 [CrossRef](#) [Google Scholar](#)

Holliday, I. (2000) 'Productivist welfare capitalism: Social policy in East Asia', Political Studies, 48, 706–723.10.1111/1467-9248.00279 [CrossRef](#) [Google Scholar](#)

Holliday, I. (2005) 'East Asian social policy in the wake of the financial crisis: Farewell to productivism?', Policy & Politics, 33, 1, 145–162.10.1082/0305573052708465 [CrossRef](#) [Google Scholar](#)

Hong Kong Labour Rights Monitor (2023) '集體談判權廢除26年 勞動三權還剩多少?' [Twenty-Six Years After Collective Bargaining Rights were

This website uses cookies

By clicking "Accept all cookies", you agree to the storing of cookies on your device to enhance site navigation, analyse site usage, and assist in our marketing efforts. (https://www.cambridge.org/legal/cookies)

(https://www.cambridge.org/legal/cookies)

Abolished, How Much of the “Three Labour Rights” Remains?], <https://reurl.cc/EVqyxa> [accessed 10.06.2025]. [Google Scholar](#)

Kozák, M. and Picot, G. (2025) ‘The politics of the minimum wage: Explaining introduction and levels’, *British Journal of Industrial Relations*, 63, 1, 161–179.10.1111/bjir.12836 [CrossRef](#) [Google Scholar](#)

Kwon, H.-J. (2005) ‘Transforming the developmental welfare state in East Asia’, *Development and Change*, 36, 3, 477–497.10.1111/j.0012-155X.2005.00420.x [CrossRef](#) [Google Scholar](#)

Lau, Y.K. and Wong, H. (2018) ‘Statutory minimum wage in Hong Kong: A family impact analysis’, *Journal of Family Studies*, 24, 3, 219–234.10.1080/13229400.2016.1176590 [CrossRef](#) [Google Scholar](#)

Lee, D.S. (1999) ‘Wage inequality in the United States during the 1980s: Rising dispersion or falling minimum wage?’, *The Quarterly Journal of Economics*, 114, 3, 977–1023. [CrossRef](#) [Google Scholar](#)

Lee, K.-M. and Law, K.-Y. (2014) ‘Economic insecurity and social protection for labour: The limitations of Hong Kong’s adhocism during the financial crises’. in K. H. Mok and M. K. W. Lau (eds.), *Managing Social Change and Social Policy in Greater China: Welfare Regimes in Transition*, Abingdon: Routledge, 47–69. [Google Scholar](#)

Lee, K.M. and Cheng, C.Y. (2011) ‘Financialization, economic crises and social protection: The case of Hong Kong’, *Journal of Asian Public Policy*, 4, 1, 18–41.10.1080/17516234.2011.574959 [CrossRef](#) [Google Scholar](#)

Liu, M., Zhang, Z. and Wu, X. (2024) ‘最低工资能否减少贫困？来自香港的新证据’ [Did the Minimum Wage Alleviate Poverty? New Evidence from Hong Kong], *城市与社会学刊, Journal of Cities and Society*, 3, 2, 26–44. [Google Scholar](#)

MaCurdy, T. (2015) ‘How effective is the minimum wage at supporting the poor?’, *Journal of Political Economy*, 123, 21, 497–545.10.1086/679626 [CrossRef](#) [Google Scholar](#)

Manning, A. (2021) ‘The elusive employment effect of the minimum wage’, *Journal of Economic Perspectives*, 35, 1, 3–26.10.1257/jep.35.1.3 [CrossRef](#) [Google Scholar](#)

Mansoor, K. and O’Neill, D. (2021) ‘Minimum wage compliance and household welfare: An analysis of over 1500 minimum wages in India’, *World Development*, 147, 2021, 105653.10.1016/j.worlddev.2021.105653 [CrossRef](#) [Google Scholar](#)

Marchal, S. (2020) ‘An EU minimum wage target for adequate in-work incomes?’, *European Journal of Social Security*, 22, 4, 452–466.10.1177/1388262720968118 [CrossRef](#) [Google Scholar](#)

Minimum Wage Commission (2020) ‘2020 Report of Minimum Wage Commission’, Hong Kong: Commission MW [accessed

This website uses cookies

By clicking “Accept all cookies”, you agree to the storing of cookies on your device to enhance site navigation, analyse site usage, and assist in our marketing efforts. [Cookie notice](#)

includes personalised advertising on certain pages. <https://www.cambridge.org/legal/cookies>

10.06.2025]. [Google Scholar](#)

Minimum Wage Commission (2022) '2022 Report of Minimum Wage Commission', Hong Kong: Commission MW [accessed 10.06.2025]. [Google Scholar](#)

Neumark, D. and Shirley, P. (2022) 'Myth or measurement: What does the new minimum wage research say about minimum wages and job loss in the United States?', *Industrial Relations: A Journal of Economy and Society*, 61, 4, 384–417.10.1111/irel.12306 [CrossRef](#) [Google Scholar](#)

Pedersen, S. H. and Picot, G. (2023) 'Regulating low wages: Cross-national policy variation and outcomes', *Socio-Economic Review*, 21, 4, 2093–2116.10.1093/ser/mwad019 [CrossRef](#) [Google Scholar](#)

Price, R. and Ho, J. K. S. (2011) 'Implementing a statutory minimum wage in Hong Kong: Appreciating international experiences but recognizing local conditions', *Common Law World Review*, 40, 2, 95–118.10.1350/clwr.2011.40.2.0217 [CrossRef](#) [Google Scholar](#)

Rath, A. A., Lau, E. H. and Schooling, C. M. (2022) 'The impact of the minimum wage on suicide rates in Hong Kong', *Social Science & Medicine*, 314, 115236.10.1016/j.socscimed.2022.115236 [CrossRef](#) [Google Scholar](#) [PubMed](#)

Su, M., Heo, C. Y. and Leung, D. (2014) 'Hotel employees' perception of the statutory minimum wage policy in Hong Kong', *Asia Pacific Journal of Tourism Research*, 19, 11, 1306–1326.10.1080/10941665.2013.852115 [CrossRef](#) [Google Scholar](#)

Tan, B. S. and Ko, S. (2010) 'The minimum wage policy in Hong Kong', *Asia Pacific Journal of Public Administration*, 32, 2, 163–176. [Google Scholar](#)

The Standard (2024) 'Unionists call for minimum wage hike to HK\$55 in "Labour Day Declaration"', <https://www.thestandard.com.hk/breaking-news/article/215702/> [accessed 01.07.2025]. [Google Scholar](#)

Tsang, K.-W. (2023) '回應有關最低工資的迷思' [Addressing the Myths Surrounding Minimum Wage], <https://www.oxfam.org.hk/tc/blog/responding-to-myths-about-the-minimum-wage> [accessed 10.06.2025]. [Google Scholar](#)

Wilson, S. (2017) 'The politics of "minimum wage" welfare states: The changing significance of the minimum wage in the liberal welfare regime', *Social Policy & Administration*, 51, 2, 244–264.10.1017/spa.2016.12286 [CrossRef](#) [Google Scholar](#)

Wong, H. and Ye, S. (2012) 'The Impact of the Introduction of a Statutory Minimum Wage on Labour Market Conditions and the Quality of Life of

This website uses cookies

By clicking "Accept all cookies", you agree to the storing of cookies on your device to enhance site navigation, analyse site usage, and assist in our marketing efforts. Which includes personalised advertising on certain sites. <https://www.cambridge.org/legal/cookies>

Vulnerable Groups in Hong Kong', Hong Kong: The Chinese University of Hong Kong [accessed 10.06.2025]. [Google Scholar](#)

Wong, M. Y. H. (2014) 'The politics of the minimum wage in Hong Kong', Journal of Contemporary Asia, 44, 4, 735–752.10.1080/00472336.2014.906641 [CrossRef](#) [Google Scholar](#)



Our Site

[Accessibility](#)

[Contact & Help](#)

[Legal Notices](#)

[Cookie Settings](#)

[Cancel your order](#)

Quick Links

[Cambridge Core](#)

[Cambridge Open Engage](#)

[Cambridge Aspire website](#)

Our Products

[Journals](#)

[Books](#)

[Elements](#)

[Textbooks](#)

[Courseware](#)

Join us online



Location

SGP



[Update](#)

[Rights & Permissions](#) [Copyright](#) [Privacy Notice](#) [Terms of Use](#) [Cookies Policy](#)

© Cambridge University Press 2026

This website uses cookies

By clicking "Accept all cookies", you agree to the storing of cookies on your device to enhance site navigation, analyse site usage, and assist in our marketing efforts which includes personalised advertising on certain pages. [Cookie notice](https://www.cambridge.org/legal/cookies)
(<https://www.cambridge.org/legal/cookies>)